THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT

FORM ONE TERMINAL EXAMINATION
065 BUSINESS STUDIES
MARKING SCHEME MAY 2025

SECTION A (15 MARKS)

1. Multiple choices (***1mark@,total=10 marks***)

i	ii	iii	iv	v	vi	vii	viii	ix	x
B	D	B	B	C	C	B	B	A	B

2. Matching Items **(*1mark@, total =5 marks*)**

LISTA	i	ii	iii	iv	v
LISTB	H	B	G	A	F

SECTION B (70 MARKS)

3. By using relevant examples explain the following types of goods ***(02 marks@, total=10 marks)***

i. **Durable goods**
Durable Goods are goods that have a long lifespan and can be used repeatedly over time without significant deterioration. Examples include furniture, vehicles, building and home appliances.

ii. **Perishable goods**
Perishable Goods are goods that have a short lifespan and must be consumed quickly before they spoil or become unusable. Examples include fresh fruits, vegetables, milk, bread, and flowers.

iii. **Demerit goods**
Demerit goods are goods with negative impact to the society or most likely to cause health problems to the consumers such as tobacco, cigarettes and alcohol.

iv. **Economic goods**
Economic goods are goods which must be bought before consumption such as a pen, a pencil, a computer, and cloth. These goods are scarce and have monetary value.

v. **Free goods**
Free goods are goods which are available for consumption at no cost and they are abundant in supply. Their consumption by one individual does not reduce availability to others. Examples include sunlight, air, and rainwater in certain regions.

4. Relationships between Business Studies and other subjects ***(02marks@,total =10marks)***

i. **Mathematics**
Business Studies uses mathematics to help plan and manage money. It helps them with aspects like budgeting, calculating total sales and total expenses and calculate profit.

ii. **Music and Theatre Arts**
Business Studies will equip students who are taking Theatre arts and music subjects with necessary skills to create a business plan, manage the business finances and marketing their services.

iii. **Language Subjects**
Good language skills make it easier to explain business ideas, negotiate deals, and advertise products. They also help in business for effective communication, persuasion, and the clear expression of ideas and strategies.

iv. **Agriculture**
Business Studies helps in planning, budgeting, and making good decisions in farming. A farmer who grows maize uses Business Studies to decide how many seeds to buy, how much fertilizer to use, and how to sell the products for a profit.

5. Businesses involve several key processes ***(02$^{1}/_{2}$marks, total =10marks)***

i. **Production**
This is a process of transforming raw materials into finished products to satisfy human needs and wants. For example, a factory producing bread from flour, water and yeast.

ii. **Distribution**
This is a process of moving goods and services from where they are produced to where they are needed for consumption. It ensures that products reach the right customers at the right time. For example, a bakery delivers bread to super markets and local shops.

iii. **Exchange**
This refers to the process of buying and selling of goods and services between two or more parties. It facilitates the transfer of ownership in return for money or other value. Example: A customer buys bread from a supermarket by paying TZS 2,000.

iv. **Consumption**
This is the final stage where consumers use the goods and services, they bought to satisfy their needs and wants. Once consumed, the product cannot be used again in the same form. For example, a family eats the bread for breakfast.

6. Classifying into durable goods and perishable goods ***(1marks@, total=10marks).***

List of Goods:	**Classification**
i. Loaf of bread	Perishable goods
ii. Refrigerator	Durable goods
iii. Fresh milk	Perishable goods
iv. Cooking oil	Durable goods
v. Wooden table	Durable goods
vi. Tomatoes	Perishable goods
vii. Mobile phone	Durable goods
viii. Pack of sugar	Durable goods
ix. Bananas	Perishable goods
x. Sofa set	Durable goods

7. Classifying into merit goods and demerit goods ***(01marks@, total=10marks).***

	List of Goods	**Classification**
i.	Vaccines	Merit goods
ii.	Cigarettes	Demerit goods
iii.	Public libraries	Merit goods
iv.	Alcohol	Demerit goods
v.	Free education	Merit goods
vi.	Hard drugs	Demerit goods
vii.	Clean water	Merit goods
viii.	Gambling services	Demerit goods
ix.	Health care services	Merit goods
x.	Junk food	Demerit goods

8.

(a) Scarcity *(03 marks)*

Scarcity means shortage of resources. This is because resources like money, land, time, and raw materials are limited, while people's needs and wants are unlimited. Because of this, we must make choices about how to use resources wisely.

(b) Opportunity cost *(03 marks)*

Opportunity cost refers to the value of the next best alternative foregone when a choice is made. If a student has TZS 5,000 and decides to buy a school notebook instead of a snack, the opportunity cost is the snack because it was the next best choice they had to give up.

(c) Based on Maria's decision, her opportunity cost is *(04 marks)*

a. Short baking course to improve her cooking skills.
b. Smartphone to help with online learning and communication

9. Classifying each as either a free goods or an economic goods ***(01 marks @, total =10marks).***

List of Goods		Classification
i.	Fresh air	Free goods
ii.	Bottled water	Economic goods
iii.	Sunshine	Free goods
iv.	A school textbook	Economic goods
v.	River water in a remote forest	Free goods
vi.	A mobile phone	Economic goods
vii.	Fruits growing in a wild forest	Free goods
viii.	Electricity	Economic goods
ix.	Cooking gas	Economic goods
x.	A public park	Free goods

SECTION C (15 MARKS)

10. Importance of studying Business Studies

Introduction ***(02 marks)***

- ✓ Definition of Business
- ✓ Examples of Business
- ✓ Meaning of Business Studies

Main body ***(12 marks)***

Importance of Studying Business Studies (***any 06 points)***

- ✓ Career opportunities:
- ✓ Entrepreneurship and innovation
- ✓ Understanding customer needs and preferences
- ✓ Critical thinking and problem solving
- ✓ Global perspective
- ✓ Financial literacy
- ✓ Soft skills development
- ✓ Ethics and corporate social responsibility
- ✓ Adapting to change
- ✓ Contribution to society
- ✓ Interdisciplinary learning

Conclusion ***(1 mark)***